

24LBCV00201 24LBCV00201

County: los-angeles

Division: Civil Law and Motion

Department: S27

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1. Complaint

Plaintiff, Batavia, LLC filed this action against numerous defendants, including The Termo Company, for damages arising out of Plaintiff's purchase of the subject property, which was previously leased by Termo, and on which Termo allegedly contaminated the soil. All defendants other than Termo have been dismissed from the action.

Plaintiff's operative complaint is its First Amended Complaint, filed on 6/27/24.

It includes causes of action for nuisance (private), nuisance (public), trespass – continuing, negligence, waste, strict liability for ultra-hazardous activity, indemnity, and declaratory relief.

Plaintiff seeks compensatory damages, special damages, an order requiring Termo to abate the continuing nuisance and trespass on the property (the contaminants are alleged to be trespassing) and ordering Termo to properly and lawfully close the wells on the property, treble damages for waste, punitive damages, prejudgment interest, and any other and further relief deemed just and proper.

On 8/12/24, Defendant filed a declaration of demurring party in support of automatic extension. Thereafter, the parties met and conferred, and on 9/12/24 they filed a stipulation, which the Court signed and entered the same day. The stipulation requires Plaintiff to dismiss the causes of action for negligence, waste, strict liability, and indemnity with prejudice. In exchange, Defendant agrees to answer the FAC within 20 days.

2. 6/17/26

Hearing on Motion to Stay

On 6/17/26, the Court heard Defendant's motion to stay the action pending resolution of ongoing administrative proceedings. The Court issued a detailed ruling that will not be repeated herein in full, but which is incorporated into this ruling by reference. Most pertinent to the current motion, the Court ruled:

In this case, it seems clear the balance of factors weighs in favor of staying the action. The agency is already assessing the subject well, and doing so will lead to the plugging of the well and a determination of who must pay for the associated costs. The agency is better positioned to make these determinations than the trial court, as it has specific expertise in this subject matter.

Plaintiff makes much of the fact that it seeks additional tort-based relief that is not at issue in the administrative proceedings. The doctrine, however, contemplates such a situation. That is, in fact, why the relief granted is a stay of the civil proceedings, rather than dismissal of the civil proceedings. The purpose of the stay is to permit the administrative body, which has greater knowledge in the subject area, to complete its tasks, and then the parties can go forward with resolving any remaining issues by way of litigation. Notably, there are concerns about conflicting rulings in the event a stay is not issued; again, CalGEM is currently working on having the well plugged, but this action also seeks an order that defendant be required to plug the well.

Plaintiff also argues the CalGEM process will be unduly long and will prejudice both it and the public, as waiting until that process is complete will not allow Plaintiff to develop the subject property. Defendant, in reply, makes various points that render Plaintiff's contention implausible. First, Defendant points out the fact that Plaintiff bought the property for only \$25,000, which price reflected the fact that there were ongoing problems with contaminants on the property. Second, Defendant notes that proceedings to have the well plugged are actively ongoing with CalGEM at this time. Third, Defendant correctly points out that Plaintiff has not specified how it would develop the property if given the

opportunity to do so, which is likely because the property is very small, located in a heavily industrial neighborhood, and indeed surrounded on three sides by waste collection and processing facilities and lacks street access on the fourth side. Thus, the Court does not see any evidence that development of the property is imminent and only being stymied by the parties' CalGEM proceedings and litigation.

Additionally, while Plaintiff, at footnote 2, contends a stay could take years or decades, citing CalGEM's identification of 5540 wells in CA as orphaned or likely orphaned and a document staying resolving all of these issues could take decades, Plaintiff does not address the fact that the particular well at issue in this lawsuit is already subject to ongoing CalGEM proceedings.

3. 10/14/26

Hearing on Motion for Reconsideration

On 10/14/26, the Court heard and denied Plaintiff's motion for reconsideration. The crux of the motion was that Plaintiff had contacted CalGEM about the status of the proceedings to plug the well, and CalGEM had indicated it could not provide a timeline for the process.

4.

Motion

for Relief from Stay

a. Parties' Positions

Plaintiff moves for an order lifting the stay of the action. Plaintiff establishes, in moving papers, that CalGEM commenced plugging the well, and in reply papers, that CalGEM has completed plugging the well. Plaintiff contends CalGEM is not remediating the contaminated soil on the property and is not compensating Plaintiff for the loss of use of its property, both of which are at issue in this lawsuit. It contends CalGEM is also not adjudicating whether Defendant's operations caused or contributed to the contamination at the property.

Defendant opposes the motion. It argues CalGEM, while it is plugging the well, has not completed its formal

determination regarding responsibility for plugging and abandonment and associated costs, which could cause conflicting rulings if this civil action goes forward. It contends prejudice remains lacking, as Plaintiff has no plans to develop the subject property for the reasons discussed in connection with the motion to stay and motion for reconsideration. It also argues Plaintiff's bald assertion that CalGEM is not addressing the contamination at the property is not evidence, and CalGEM regulations require it to not only plug the well, but also restore the subject property to as near a natural state as possible.

Plaintiff, in reply, contends completing absolutely every aspect of the regulatory process is not necessary to lift the stay, and contends the primary purpose of the stay, to plug the well, has been completed. Plaintiff argues any ultimate regulatory determinations by CalGEM about who has to pay for the plugging of the well and/or remediation of the property are not binding in civil court and will remain for the Court to decide.

b.

Analysis

The Court's tentative ruling is to deny the motion and keep the stay in place, and that will be the final ruling if the parties submit on the tentative ruling. While CalGEM has plugged the well, CalGEM has yet to issue its final determination re: responsibility for the cost of plugging the well and has yet to commence proceedings to clean up the contamination on the property.

Plaintiff's claimed prejudice from the stay is that memories fade, documents can be lost, etc. While this is all possible, the Court finds there is minimal risk of prejudice to Plaintiff in the event the stay remains ongoing. All the articulated obstacles to developing the property detailed in the original ruling remain equally applicable now, and Plaintiff has established no intention to commence developing the property.

Meanwhile, the Court remains concerned about the risk of conflicting rulings. CalGEM will ultimately make determinations regarding who is responsible for plugging the well, who is responsible for cleaning up contamination, etc. If this civil court also makes those same determinations, there is a

serious possibility of conflict. Again,
as indicated in the prior rulings, CalGEM is uniquely situated to make these
expert determinations, and this is the purpose of the primary jurisdiction
doctrine.

If the parties wish to appear and argue, the Court wishes to hear from
the parties on the following issues:

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Do we
know for certain that CalGEM will ultimately assess responsibility for the
plugging of the well, remediate the property, and/or assess responsibility for
remediation of the property?

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If
CalGEM is ultimately not going to undertake the above, is there a process
pursuant to which it will notify the parties that its role in the property is
complete?

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What
steps can the parties take to ensure evidence is preserved during the pendency
of the stay? Could the parties exchange
evidence even while the stay is pending to ensure Plaintiff's concern about
lost evidence is addressed?

Defendant is ordered to give
notice.